

POVERTY AND INCOME DISTRIBUTION

Expenditure جس کی طرف سے

INTRODUCTION — The Concept and Types of Poverty

We have told in chapter 2 that there exists a severe type of poverty at world level. Following a simplest methodology, if a person's daily per capita income is \$1 on the basis of Purchasing Power Parity (PPP), the person is living on the poverty line, while the person whose per day income is below \$1, he will be living below the poverty line or he is poor. • Thus, following this definition, the 2.5 billion people were poor out of 8 billion people of the world, in the year 2022, as their income per day was less than \$1. While 3.5 billion people earn less than \$2 per day. The poor are prey to malnutrition and (they have poor health.) They are illiterate or low qualified. • They live in the areas where there is environmental degradation, and they have no political voice.

Poverty
نیستی

Extent of Poverty. The extent and magnitude of poverty in an economy depends upon two factors: (1) the average level of national income, (2) the degree of inequalities in national income. If we keep the average level of NI fixed, greater the inequality in income distribution is greater will be poverty. In the same way, keeping income distribution constant, lower the average income of the country, greater will be poverty.

↓ Poverty
نیستی
↑ Poverty
نیستی
↑ Income
آمد

But the question arises: how the poverty be measured quantitatively with some mentionable way. During 1970s, when poverty issue got importance, a common poverty line was devised to measure the magnitude of poverty both at domestic and at the world level. The economists, thus, came to consensus that a person whose per day income is \$1 he is living on the poverty line, while the person whose per day income is less than \$1, he is living below the poverty line, or he is poor. Afterwards, the economists presented the concept of 'Absolute Poverty', which is presented below, then relative poverty will be explained.

↓ Poverty
نیستی
↓ Income
آمد

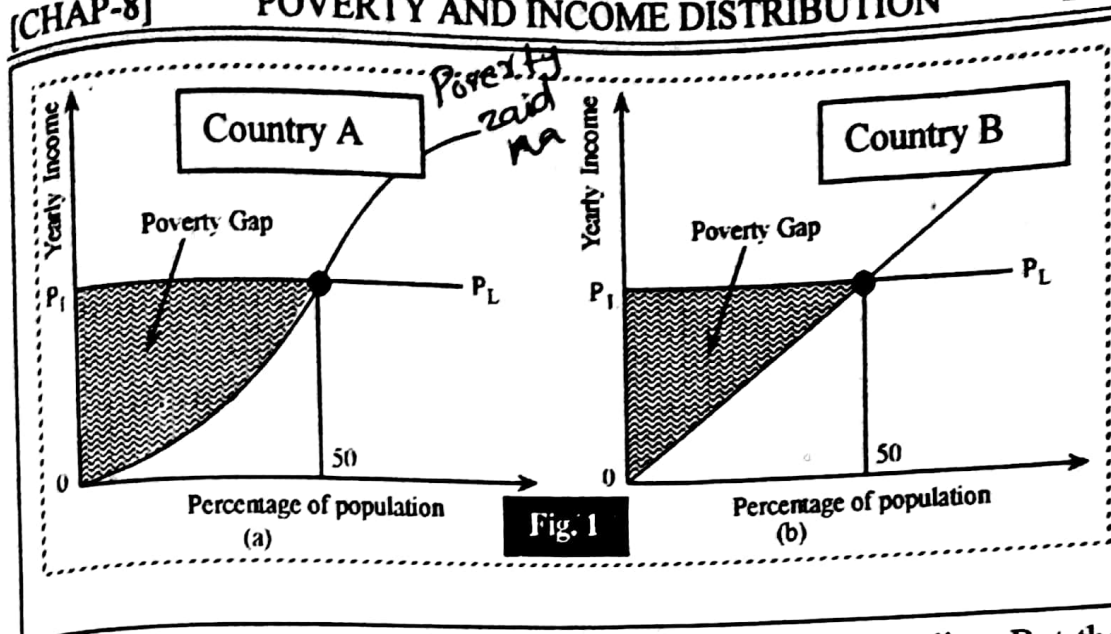
1. **Absolute Poverty.** • The absolute poverty represents a particular minimum level of income which is necessary to meet the basic needs of food, clothing and shelter for the sake of existence. • Thus those people will be absolutely poor who do not have enough sources to meet their basic needs. • To measure it, it will be seen that how many people are there whose

per capita per day real income is below the international poverty line which has been drawn at \$1. Though the basic requirements may vary from country to country, but in order to avoid such dispute, all of the experts accord \$370 per year or \$1 per day as the international poverty line. Then such income is converted into the purchasing power of each country, then one gets the poverty line in the local currency. Thus, absolute poverty can be measured with the help of number of people — known as Head-count, whose incomes are below the absolute poverty line (Y_p). When head-count is represented in the ratio of total population we get head-count index (Ph), which was presented by A. K. Sen in 1976. This is also known as absolute poverty index, as $Ph = H/N$. If we denote poverty line by Z and the incomes of the people by Y , then by H we mean those poor people whose incomes are either lower than Z or equal to Z , i.e., $Y \leq Z$. $H = Z - Y$

• It is told that poverty line is set at a constant level of real income. By considering it we can estimate how many people are entrapped in poverty, and the number of people whose incomes are lower than such particular real income, are living in absolute agony where the life of a person is at risk.

Determination of Absolute Poverty. When we determine the level of poverty in a country or in an area, we will have to define a necessary basket of food, i.e., how much of calories and protein will be needed on the part of a person for his survival. Then by using local household survey data, it can be identified that how many people are having such required amount of food. Moreover, absolute poverty in a country can also be measured with the help of expenditures which a person has to make on the basic needs like food, clothing, shelter and health care. The experts think that whatever method is followed the poverty line has been set at \$1 at PPP.

2. **Relative Poverty.** Some experts are of the view that it is not suitable to count the people who are living below stipulated poverty line. As, if poverty line is set at \$360 annually, a person whose annual income is \$350 and another person whose annual income is \$300, both will be living below the poverty line. However, the person whose income is \$300 will be more poor. But the measure of poverty does not throw light on such like situation. As a result, the economists present the concept of Poverty Gap which measures that income equal to which the income of every person has to be increased who are living below the poverty line. In Fig-1(a) and (b) that proportion of population of two countries, A



and B (50%) has been shown which lives below the poverty line. But the poverty gap in country A is greater than that in country B. Therefore, the country A will have to make more efforts to remove absolute poverty. Keeping in view the above situation the concept of relative income has been presented. In other words, how many people of the world are living below the poverty line and they have to take to the level of poverty line. To explain it, the relative poverty index has been formulated, shown by P_g . The P_g shows that the level of total income which is necessary to bring all the poor people to the poverty line (Z), as:

$$P_g = \sum_{i=1}^H g_i, \text{ where } g_i = Z - Y_i \text{ and } i = 1, 2, 3, \dots, H \text{ persons}$$

It is told that $g = \sum_{i=1}^H (Z - Y_i) = q(Z - M)$

where M is the average income of the poor people and the average poverty gap is equal to $Z - M$. The poverty line and the ratio of fall in average income will be: $\frac{Z - M}{Z}$.

This measure is not influenced by this that what is the number of persons living in poverty. It is concerned with this thing that what is the number of persons living below the poverty line and they have to bring to poverty line. Thus the total poverty gap (TPG) can also be represented as:

$$TPG = \sum_{i=1}^H (Y_p - Y_i)$$

$$g = \sum_{i=1}^H (Z - Y_i) = q(Z - m)$$

Simply we shall call TPG that level of daily money which will take each poor person to the level of minimum income. The average TPG will be as

$$\text{APG} = \frac{\text{TPG}}{H} \quad \text{This represents average poverty gap.}$$

Sometimes we want to know the size of decrease in income from poverty line point of view. For this the Index of Normalized Poverty Gap has been presented as :

$$\text{NPG} = \frac{\text{APG}}{Y_p} \quad \text{The value of this index is between 0 and 1.}$$

3. ✱ **The Measure of Inequalities Among the Poor.** This measure is also known as Foster – Greer – Thorbecke Criterion which measures the inequalities of income of the poor. In this respect, the Gini Coefficient or the coefficient of variation (C. V.) for the poor is used. The effect of economic shock on poverty depends upon this thing that what is the amount of resources with the poor. For example, the incomes of those farmers will increase who sell wheat in the markets after increase in the price of wheat. As a result, they may go out of poverty line. While those poor farmers and tenants who use wheat by purchasing it from the market may suffer as a result of increase in price of wheat. In this way, their absolute poverty may further increase. The FGT index is written as :

$$P_\alpha = \frac{1}{N} \sum_{i=1}^H \frac{(Y_p - Y_i)^\alpha}{Y_p^\alpha} \quad \alpha > 0 \text{ powers}$$

where Y_i is the income of i th poor person, Y_p is the poverty line and N is the total population. Because of different prices of ' α ', the P_α may assume different values. As, if $\alpha = 0$, the value of numerator will be equal to H . This will give us head-count ratio, H/N . If $\alpha = 1$, we will get normalised poverty gap (NPG). If $\alpha = 2$, the obtained measure P_2 will be given as:

$$P_2 = \left(\frac{H}{N} \right) [\text{NPG}^2 + (1 - \text{NPG})^2 (\text{CVP})^2]$$

According to this measure if H/N increases, NPG increases or if CVP increases P_2 will also increase.

✱ **Human Poverty Index.** This measure was presented by UNDP in its report (1997), as UNDP was not satisfied with the measures of daily per capita incomes. Therefore, the human poverty measure is a substitute of Bank's Income measure. On the basis of this measure the human poverty index (HPI) has been formulated. This index has resemblance with HDI in so many cases. According to UNDP, the human poverty can be measured with the help of three basic deprivations as: Life expectancy (as in poor countries 30% people do not have age more than 40 years), Basic education (what is the proportion of literate among adults), and how much Economic Services (how many people are deprived of clean water and health care).

and how many children below five are under-weighted) have been attained. The HPI was formulated with the help of formula for 90 developing countries. According to UNDP report (2001), these countries were divided between low to high HPI. Their results were different from those of WB. Higher value of HPI means that the life expectancy, education and economic services available to a country are low. As a result, here the poverty level will be higher. Whereas the lower value of HPI means the less deprivations of life.

CONCEPT OF POVERTY LINE AND DIFFERENT MEASURE OF POVERTY

We shall discuss them with reference to Pakistan.

Till 1993, the studies which were made regarding the measurement of poverty used the measure of Food-Energy Intake. According to it each adult must get calories from 2100 to 2550. It means that at the average, if a person does not get the calories of 2550 he will be living below the poverty line. But this measure has certain shortcomings. As a result, a new measure was brought forward which was given the name of Affordability Principle. According to this criterion of poverty, that person will be poor who is lacking certain qualities. As a result, he is unable to take part in the society with esteem and respect. (The economists like Prof. S. M. Nasim, Dr. Hussain Malik and Dr. Mushtaq have presented the criteria of poverty in Pakistan. They are discussed below.

1. Per Capita Monthly Expenditures Measure

(Prof. M. Nasim (an Ex-Professor of Quaid-i-Azam University) measured poverty on the basis of per capita monthly expenditures. As, on the prices of 1959) he stipulated the poverty line at Rs. 250 and Rs. 300 per month for the rural areas and Rs. 300 and Rs. 375 for the urban areas. If we suppose Rs. 300 per person per month for the rural areas, i.e., they are in need of Rs. 300 per month to meet their basic needs, then in the year 1963-64, 60.5% of rural population was living below poverty line. While their proportion was 59.7% in 1969-70 and 58.4% in 1971-72. (If the urban poverty line is drawn at Rs. 375 per person per month then in the year 1963-64) 70% urban in 1969-70, 58.7% urban, and in 1971-72, 62.8% of urban population was living below the poverty line.

2. Per Capita Monthly Consumption Expenditures Measure

This criterion was presented by Dr. Hussain Malik (a late Professor of Quaid-i-Azam University) who in order to know the poverty line sets a limit of minimum per capita monthly expenditures. It means that the person whose monthly consumption happens to be lower than that they are poor or suffering from poverty, or whose income per capita is below the level of basic consumption expenditures suffer from poverty. He stipulated the poverty line for the rural area at Rs. 159 and Rs. 176 as poverty line, their

urban

ratio was 42.69% in 1963 - 64, 50.76% and for the urban areas at Rs.185 and Rs.207 on the basis of 1984 - 85 prices. If it is considered Rs.159 for the rural areas, the people living below the poverty line were 36.79% in 1963 - 64, 44.24% in 1969 - 70, 29.23% in 1978 - 79 and 24.10% in 1984 - 85. If we consider Rs. 176, in 1969 - 70, 35.19% in 1978 - 79 and 29.21% in 1984 - 85. If for the urban areas the poverty line is set at Rs.185, the population of urban areas living below the poverty line was 40.88% in 1963 - 64, 34.09% in 1969 - 70, 23.64% in 1978 - 79 and 19.40% in 1984 - 85. While taking Rs.207 per month as the poverty line, the urban population which was living below the poverty line was 48.89% in 1963 - 64, 42.55% in 1969 - 70, 30.95% in 1978 - 79 and 25.61% in 1984 - 85.

3. ✓ Per Capita 2550 Calories Measure

This criterion was also presented by Dr. Hussain Malik. According to this measure, the person who at the average gets 2550 calories per day he is living above the poverty line while the person who is getting per day is calories less than 2550 he is poor or he is living below the poverty line. In other words, a person who with his income gets foods whose caloric value per day is less than 2550 he is living below the poverty line. Following this approach, the people living below the poverty line were 18.3% in 1984 - 85. Their proportion decreased to 16.6% in 1986 - 87. In the year 1984 - 85, the rural population living below the poverty line was 21% which decreased to 19.6% in 1986 - 87. The urban population living below the poverty line was 11% in 1984 - 85 and it decreased to 8.7% in 1986 - 87.

4. Per Capita Basic Needs Approach

This criterion was presented by Dr. Mushtaq Ahmad (Ex-Senior Economic Advisor GOP). He stipulated the poverty line for Pakistan as a whole at Rs.388 on 1991 - 92 prices, while it was supposed that a household is consisted of 2 adults and 4 children. According to this criterion, in 1991 - 92, 42.15% of the population was living below the poverty line. In the rural areas, to meet the basic needs, the limit of Rs.300 per month was set, below which their proportion was 24.15% in 1991 - 92. In the urban areas, to meet the basic needs, the limit of Rs.419 per month was stipulated. On this limit, the 47.10% of the population was living below the poverty line.

5. The Measure of Head-Count Ratio Most commonly used

According to this approach the ratio of poor to the total population is represented. This approach does not make estimation of poverty. However, this can be known that how many poors are there in the country, and what is their future trend?

MEASUREMENT OF POVERTY IN PAKISTAN

— The Experts views from London School of Economics

After having discussed the poverty lines with the above criteria of poverty, the experts from the London School of Economics like Guzdar,

Harris, Stephen and Salman Zaidi agreed with the approach presented by Dr. Mushtaq Ahmad. However, with certain changes they stipulated the poverty line at Rs.388 per month on the 1991 - 92 prices, while the family had two adults and 4 children. However, for urban areas they enhanced such estimates by 20%. As a result, the poverty line in urban areas stood at Rs.350 per month. According to their results in the year 1984 - 85, the proportion of the poor was 43.6%, for the whole Pakistan which decreased to 33.6% in 1991. While during the same years the ratio of urban poor was 38.8% and 31.4%. In the same years the proportion of rural poor was 45.6% and 34.5%. In the year 1991, the proportion of the poor in the Punjab was 39.9% and that of the rural Punjabis was 37%. In Sindh, the proportion of the poor was 25.9%; the proportion of urban Sindhis was 19.5%; and that of rural Sindhis was 31.3%. In NWFP, the proportion of the poor was 24.5%; the proportion of the urban poor was 22.2% and that of rural poor was 24.9%. In Baluchistan, the proportion of the poor was 45.3%; the proportion of the urban poor was 33.7% and that of rural was 47.2% in 1991.

The International View Point Regarding Poverty. Now-a-days the concept of poverty has gotten enough importance. Accordingly, the poverty line has also been stipulated at the international level. Therefore, so many economists are agreed with it that one dollar per day income of a person may be accorded the poverty line. Hence, all the persons who earn less than one dollar per day, they are living below the poverty line. However, some experts are of the view that the income per day at 2 dollars represents the poverty line. Thus, the earners less than 2 dollars live below the poverty line. According to UNDP report (2003), 65.5% population of Pakistan earned less than 2 dollars per day. However, there does not exist coincidence regarding poverty line.

In addition to the criterion of one dollar per day, the economists also use the criterion of use of calories on the part of a person to measure poverty. As, if a person uses 2350 calories per day or less than that, the person is living below the poverty line (BPL).

According to a report prepared by ADB, by name "Poverty in Pakistan: Issues, causes and Institutional Reaction", 47 million people in Pakistan lived below the poverty line. According to this report, in 1993, the poverty level in Pakistan was 20% which went to 32% in 1999 and 35% in 2001. The poverty ratio was 30 % in 2010-11 in Pakistan. The situation regarding poverty level did not decrease even in 2014-15 to 2020-21. According to WB, the poverty in Pakistan was 39.3% in 2021-22.

Social Policy Development Center (SDPC) View Point Regarding Poverty

The studies which have been made by SPDC tell that 88% of Baluchistan's population, 51% of NWFP, 21% of Sindh and 25% of

Punjab's population was prey to poverty and deprivation. In Sind, the rural poverty ratio was 49%, while the urban poverty ratio was 23%. In Punjab, the rural poverty ratio was 30%, while the urban poverty ratio was 26%. In Punjab, the rural - urban disparity was of lesser degree. In Punjab Rajinrpur, in Sindh it is Badin, in NWFP it is Kohistan and in Baluchistan it is Musa Khel which are the poorest cities of Pakistan. According to SPDC, the poverty ratio was 33% in Pakistan in 1999 which went to 38% in 2001. On the 20th December, 2004, SPDC in its report stated that the poverty ratio was 33% in Pakistan in the year 2004. According to Economic Survey 2007-08 the poverty ratio was 29.3% in Pakistan. According to Economic Survey 2013-14, the absolute poverty in Pakistan has decreased from 22.3% in 2005-06 to 12.4% in 2010-11. In 2016-17, the poverty ratio was 29% in Pakistan. The same situation remained in 2018-19.

Dr. Mehbub-ul-Haq Center for HRD's Point of View About Poverty

According to this center the poverty ratio was 21.2% in 1980. — 81 in Pakistan which went to 28.6% in 1986 – 87; 35.9% in 1992 – 93; 40%, in 1999 – 2000 and it went to 40% in 2000 – 01.